

The Accelerated Contradiction: Stablecoin Dollarization and the Compounded Triffin Dilemma

The Original Dilemma

Robert Triffin, testifying before Congress in 1960, identified a structural contradiction inherent in any monetary system organized around a single national currency serving simultaneously as the global reserve. The country issuing the reserve currency must supply the world with sufficient liquidity to facilitate international trade and finance. It can only do this by running persistent balance of payments deficits, exporting more currency than it receives. But continuous deficits accumulate foreign dollar claims against U.S. assets. As those claims grow, confidence in the issuer's ability to honor them erodes. The very process of providing global liquidity seeds the eventual loss of confidence in the instrument providing it.

Triffin's analysis proved correct. The Bretton Woods system collapsed in 1971 under the weight of dollar claims accumulated through the Vietnam War and Great Society spending, exactly the fiscal overextension his dilemma predicted. The post-Bretton Woods dollar standard resolved the immediate convertibility problem by severing the gold link, but preserved the underlying tension: the dollar's global role requires the U.S. to export dollars through deficits, and those deficits accumulate as a growing overhang of U.S. obligations to the rest of the world.

The stablecoin architecture enabled by GENIUS does not resolve this tension. It accelerates it, adds a new compounding loop, and privatizes the seigniorage extracted

from the process; while concentrating the political economy of the dollar's international role in the hands of two private companies with no public accountability for the systemic risks their growth generates.

The Compounding Loop

The original Triffin mechanism runs through trade deficits: the U.S. imports more than it exports, sending dollars abroad, meeting global demand, accumulating foreign claims. The stablecoin mechanism adds a parallel loop that operates through T-bill issuance rather than trade flows.

As established in Working Paper 1, stablecoin reserve requirements create a captive, price-inelastic demand base for U.S. Treasury instruments. Stablecoin issuers hold T-bills not because they are attractive at a given yield but because reserve compliance is mandatory. As stablecoin adoption scales globally; a process already underway at significant velocity, this demand base grows structurally and permanently.

The Treasury benefits: stablecoin reserve demand suppresses T-bill yields, reducing government borrowing costs regardless of the rate environment. Cheap borrowing enables fiscal expansion. Fiscal expansion re-injects dollars into the global economy. More dollars globally increase the perceived need for dollar-denominated instruments to hold them. More demand for dollar stablecoins requires more T-bill issuance to back them. The loop is self-reinforcing.

The compounding problem is that this mechanism accelerates the deficit dynamic that drives the original Triffin dilemma. The U.S. does not need to run trade deficits to supply the world with dollars in the stablecoin era; stablecoin issuers create dollar-denominated instruments from T-bills and distribute them globally. But the fiscal expansion that stablecoin reserve demand underwrites produces the same result: an ever-growing stock of U.S. dollar obligations outstanding in the world, backed by an ever-growing stock of U.S. government debt. The global dollar overhang grows faster, through a mechanism that bypasses the traditional discipline of trade account adjustment.

Tether and Circle already hold collectively more U.S. Treasury securities than Saudi Arabia, as documented in the IMF's July 2025 External Sector Report. The total stablecoin market stood at approximately \$323 billion in May 2026, with Treasury Secretary Bessent projecting \$3.7 trillion by the end of the decade. Stablecoin transaction volume has grown from \$565 billion in 2020 to approximately \$11 trillion in 2025; an 80 percent annual growth rate that has brought stablecoin transaction volumes to 65 percent of Visa's network scale in five years. As of May 2026, 99 percent of all stablecoins in circulation are dollar-denominated, dominated by two private issuers; Tether and Circle, controlling approximately 84 percent of total market capitalization. The T-bill demand this generates is not yet at a scale that dominates the \$30.8 trillion Treasury market, but the trajectory is one of exponential growth into a structurally significant share of sovereign debt demand.

Digital Dollarization and the Emerging Market Dimension

The geopolitical case for stablecoin dollarization is that it extends dollar reach into populations previously outside the dollar system; providing digital dollar access to individuals in high-inflation, capital-controlled, or underdollarized economies. The IMF's data confirms this is occurring. Stablecoin flows scaled to GDP are largest not in North America but in Africa, the Middle East, and Latin America, where they reach approximately 7-8 percent of GDP in some markets. Standard Chartered estimates that dollar-backed stablecoins could absorb \$1 trillion from emerging market banks over three years, with stablecoin savings in 16 vulnerable countries; including Egypt, Pakistan, Turkey, India, Brazil, and South Africa, rising from \$173 billion to \$1.22 trillion by 2028.

The short-term dollar-strengthening argument is coherent: more global use of dollar instruments increases demand for dollars and dollar-denominated debt, reinforcing the reserve currency position and providing the "world banker" balance sheet dynamic the IMF describes. But the Triffin framework identifies precisely why this is not a stable long-run equilibrium.

Digital dollarization in emerging markets operates as an accelerated currency substitution mechanism. When populations in high-inflation economies hold dollar stablecoins rather than local currency, they are effectively withdrawing from their domestic monetary system. Local central banks lose monetary transmission; the same mechanism described

domestically in Working Papers 1 and 4 operates in the EM context, but with even greater severity because EM central banks lack the institutional depth to adapt. Exchange rates come under structural depreciation pressure as local currency demand falls relative to dollar-denominated alternatives. Inflation in local currency terms rises, further accelerating substitution. The IMF has explicitly flagged that stablecoins can accelerate this currency substitution process by removing the friction that previously slowed it, opening a stablecoin wallet is faster than opening a dollar bank account.

The consequence for global financial stability is a gradual fragmentation of EM monetary systems, producing persistent instability in the periphery of the global dollar system. Fragility in EM economies is not isolated from dollar credibility. The 1997 Asian financial crisis, the 1998 Russian default, and the 2001 Argentine collapse each produced contagion effects that stressed dollar-denominated instruments globally. A wave of EM currency substitution facilitated by stablecoin dollarization; concentrating dollar exposure in economies without the institutional capacity to manage it, creates a systemic fragility profile that the dollar's reserve status cannot fully insulate against.

The Seigniorage Privatization Problem

The Triffin dilemma in its original form involved the U.S. government capturing seigniorage from dollar issuance; the difference between the cost of producing dollars and the goods and services those dollars command globally. That seigniorage financed U.S. deficits and subsidized consumption, creating the political economy incentive to maintain the reserve currency role even at the cost of the structural imbalances the role required.

In the stablecoin era, this seigniorage is privatized. Tether reported \$13.7 billion in profits for 2025; profits derived primarily from the T-bill yield on its reserve holdings, paid for by the global dollar demand that reserve currency status generates. The IMF has directly identified this as a consequence of stablecoin growth: "the privatization of seigniorage by global actors," producing "significant wealth accumulation by what is likely, given the strength of network externalities, to be a few companies and individuals."

The political economy implications are significant. When the U.S. government captured seigniorage, the benefits flowed; however imperfectly, through public expenditure. The

political constituency for maintaining the reserve currency role included the broad public that benefited from dollar exorbitant privilege. When seigniorage flows to two private companies, the political constituency for maintaining the reserve currency role concentrates in those companies and their investors. Their incentive is to maximize stablecoin adoption and T-bill demand regardless of the systemic consequences; including the fiscal overexpansion, monetary transmission failure, and EM instability described above.

The IMF flags the downstream political economy consequence explicitly: privatized seigniorage produces lobbying for "deregulation and opacity of international capital flows"; exactly the regulatory environment that maximizes issuer profit at the expense of systemic transparency and policy coordination. This is not a speculative risk. It is the documented behavior of the crypto industry's existing political engagement, as described in Working Paper 3.

The Self-Undermining Architecture

The deepest dimension of the stablecoin Triffin problem is that the mechanism the architecture uses to extend dollar reach is identical to the mechanism that ultimately undermines reserve currency credibility.

Dollar reserve status rests on two foundations: the depth and liquidity of U.S. financial markets, and confidence in U.S. monetary credibility; the institutional capacity to manage inflation, maintain financial stability, and honor obligations. Stablecoin dollarization aggressively extends the first foundation: more global dollar transactions, more T-bill demand, deeper integration of the dollar into global digital payment infrastructure. It simultaneously degrades the second: monetary transmission failure (Working Paper 4), credit contraction (Working Paper 5), fiscal dominance through captive T-bill demand (Working Paper 1), and the surveillance and censorship architecture (Working Paper 7) that undermines confidence in the dollar as a neutral international settlement medium.

The historical precedent is the Eurodollar market, which the IMF notes is instructive. Eurodollar market capitalization grew from near zero in 1960 to more than \$10 trillion by the 2020s. It extended dollar reach, deepened dollar usage globally, and contributed to U.S.

financial dominance. It also created a pool of dollar liabilities outside the Fed's direct control, complicated monetary policy transmission, and generated the offshore dollar overhang that made the post-Bretton Woods system structurally fragile. Stablecoins are the Eurodollar market's digital successor, growing at 80 percent annually rather than over decades, administered by private entities with compliance obligations to the U.S. government but no accountability for the systemic dynamics their growth generates.

The dollar's reserve status has survived previous Triffin iterations because the U.S. retained the institutional credibility; the Fed's inflation-fighting reputation, the Treasury market's liquidity, the rule of law, that made dollar instruments worth holding despite accumulating deficits. The stablecoin architecture systematically degrades each of those credibility foundations while accelerating the deficit dynamic that creates the accumulation problem. It extends the dollar's network reach into the global economy at the precise moment it is dismantling the institutional foundations that make that reach credible.

The paradox is that success and failure are not sequential in this architecture. They are simultaneous. The more successful stablecoin dollarization is in its short-term dollar-extending function, the more rapidly it produces the fiscal, monetary, and institutional conditions that undermine the long-term credibility of the instrument being extended. The Triffin dilemma, in its stablecoin form, does not play out over decades as it did in Bretton Woods. The accelerated growth trajectory, the privatized political economy, and the simultaneous degradation of domestic monetary institutions compress the timeline considerably.

What Survives the Analysis

The standard rebuttal to Triffin-based dollar pessimism is that there is no credible alternative; no other currency has the depth, liquidity, and institutional backing to serve as a global reserve. This remains true as of May 2026. The euro, the renminbi, gold, and SDRs each have significant structural limitations as Bretton Woods successors. The dollar's incumbent advantage is real.

The rebuttal does not address the compounded version of the problem, however. The question is not whether the dollar faces an imminent successor. It is whether the stablecoin architecture accelerates the accumulation of the structural contradictions that have historically preceded reserve currency transitions; and whether the U.S., by privatizing seigniorage, delegating monetary transmission to private issuers, and prohibiting the public institutional alternative, has chosen to accelerate those contradictions at the moment of its greatest digital monetary opportunity.

The dollar may retain reserve currency status through this transition. If it does, it will do so with the fiscal architecture of a captured Treasury market, the monetary architecture of a severed transmission system, the banking architecture of a hollowed insured sector, and the political economy of a reserve currency whose benefits flow to a small number of private entities rather than the public whose institutional credibility underwrites the entire system.

That is Triffin's dilemma with private rather than public actors absorbing the privilege and the public absorbing the contradiction. The structure is the same. The accountability is not.

This is the eighth paper in the series. Working Paper 9 addresses tax treatment and the hidden compliance cost layer. Working Papers 1–7 address the core displacement mechanism, systemic repercussions, the labor vector, the rate corridor, credit creation collapse and CBDC foreclosure, banking system hollowing, and the surveillance architecture.